

The growing divide: Preferences, interests, and the shadow of the future in Argentina–Brazil relations

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Abstract

In recent decades, the relationship between Argentina and Brazil was understood as an alliance sustained by common interests and shared values. We argue that this assumption no longer holds, and that the relationship is going through a growing divide. In this article, we examine the evolution of Argentina–Brazil relations and carry out a plausibility probe to test three explanations of their rise and decline. To do so, we look at the shifting patterns of preferences (i.e., domestic coalitions and the electoral cycle), interests (i.e., business actors and trade patterns), and the shadow of the future (i.e., prospects for future interactions). We find that each of the three explanations contributes significantly to our understanding of the relationship's development and the challenges that lie ahead.

KEYWORDS

Argentina, bilateral relations, Brazil, interests, preferences, values

INTRODUCTION

The Argentina–Brazil relationship is on the line. Relations between the two countries have never been worse since the return to democracy in the 1980s. Rows between Brazil's far-right president Jair Bolsonaro and Argentina's left-leaning president Alberto Fernández have contributed to a downward slide in bilateral relations. The view of Bolsonaro's Brazil as an outlier has taken over the Argentine political mainstream. In Brazil, Bolsonaro's tough anti-Kirchnerite rhetoric has served to ramp up support at home. Relations have deteriorated to the point that the two leaders have not yet held a bilateral meeting.¹

Yet, there is more than ideology behind the current poor state of Argentina–Brazil relations. The existing international liberal order, which served as a common script for open regionalism, is being contested on the left and far-right across the world. Asia's rise has shaped the elite's economic and geopolitical incentives in South America. Political and economic crises in Argentina and Brazil have eroded the long-term credibility of governments. The business sector has hit a limit to its ability to enter the neighboring country's market, becoming attracted to other options outside the region. Cooperation in defense and security has become more difficult because of the different roles played by the armed forces on each side. In addition, the growing political polarization in both countries has distracted them from their shared goals.

Against the backdrop of this shifting landscape, Argentina and Brazil have found it extremely difficult to develop new policies, rules, and instruments to adapt to the challenges posed by globalization, technological change, and geopolitical competition. A sense of frustration and uncertainty prevails for two main reasons, (1) not being able to make the Southern Common Market (Mercosur) the basis of global economic outreach; and (2) having difficulty in identifying viable alternatives to strengthen the strategic partnership. It is said that the relationship has lost a strategic sense, so it is necessary to rethink the foundations of bilateral cooperation.

How to explain this broken engagement?

With few exceptions (Actis, 2015, 2017; Frenkel & Azzi, 2018), the literature examining the drifting relationship has been sparse if it has existed at all. There is a rich body of research on how the two countries moved from geopolitical rivalry to cooperation (Darnton, 2014; Dunlap, 2021; Mallea et al., 2015; Russell & Tokatlian, 2003), but the lack of research on the decline of the relationship, and the causes of this decline, is striking. Anecdotal evidence policy papers, and reports abound. In addition, the media often portray the relationship as broken. Still, we must study in greater depth the possible factor that led to this state of the bilateral relationship.

In this article, we take the first step toward examining empirically and theoretically the unraveling of the strategic alliance between Argentina and Brazil. We do so by conducting an initial plausibility probe of three explanations. Given the state of the knowledge, this type of study represents a preliminary examination of “relatively untested theories and hypotheses to determine whether more intensive and laborious testing is warranted” (George & Bennett, 2004; p. 75). Plausibility probes, says Levy (2008), play an important role in the process of theory development by demonstrating the empirical relevance of a theoretical argument (p. 7). This role becomes more important since there is “considerable uncertainty about whether there is a link between a cause (or set of causes) and an outcome, or there are multiple plausible processes that might link them” (Beach, 2021).

The article unfolds in two sections, followed by a conclusion. The first section chronicles the rise and decline of the strategic alliance. Here, we identify four discernible stages in the relationship between Argentina and Brazil, (1) the initial conditions of cooperation between the late 1970s and early 1980s; (2) the cooperation between internationalists in the 1990s; (3) the cooperation between autonomists in the 2000s; (4) the setback that begins approximately in 2011; and (5) the loss of relevance in recent years, from 2015 onward. Given that bilateral history in the 1980s and 1990s is much better known than recent history, we will limit the analysis to highlighting the most salient aspects and concentrate more on the 2000s onward. The second section carries out a plausibility probe by testing the general viability of three alternative explanations, (1) the role of domestic political coalitions and the electoral cycle; (2) the effect of economic interests; and (3) the changing nature of the “shadow of the future.” The final section reflects on the main findings and suggests avenues for future research.

THE RISE AND DECLINE OF THE ARGENTINE–BRAZILIAN PARTNERSHIP

The initial conditions

For much of the 19th and part of the 20th century, the ebb and flow of power balance shaped the Argentina–Brazil relationship, amid a feeling of mutual mistrust. There were occasionally brief diplomatic pauses, such as Roque Sáenz Peña's visit to Brazil in 1910, at the invitation of José María da Silva Paranhos, the baron of Rio Branco; the rapprochement between Juan Domingo Perón and Getulio Vargas in the 1950s; and the summit between Jânio Quadros and

Arturo Frondizi in Uruguayana in 1961 (Candeas, 2017; Ribeiro da Silva, 2011). Yet, the dominant pattern typically reflected the logic of mixed-motive games, such as the so-called prisoner's dilemma, in which states may profit from cooperation, but the dominant strategy is to defect.

The payoffs from this game began to change between the late 1970s and early 1980s. Argentina and Brazil were able to navigate a hostile international environment (i.e., high international interest rates and depressed commodity prices) when two Westernist, anticommunist military governments “took cautious, but unmistakable, steps toward bilateral technical cooperation across a variety of civilian nuclear development projects” (Dunlap, 2021; p. 386). After five rounds of negotiations, the foreign ministers of Argentina, Brazil, and Paraguay signed the Tripartite Agreement (Acuerdo Multilateral de Corpus-Itaipú) on October 17, 1979 (Darnton, 2014).

Schenoni (2017) suggests that the payoffs shifted in the 1970s when a power transition in favor of Brazil was accompanied by a change in Argentina's domestic coalition that opted for engagement instead of balancing. In line with Schenoni's work, several studies (Carasales, 1995; Dunlap, 2021; Mallea et al., 2015) have produced solid evidence that it was the convergence of ideas and interests between the military governments that triggered cooperation on such sensitive issues as nuclear energy. Drawing on declassified documents, interviews, and oral history, Spektor (2016a) concludes that “officials on both sides thought they were sitting on the same side of the fence” (p. 639). More recently, Dunlap (2021) also finds that, against the backdrop of a hostile Cold War, Argentina and Brazil “shared nearly identical stances on the unfettered right to pursue advanced nuclear technology” (p. 385).

Bilateral cooperation persisted and deepened as Argentina and Brazil returned to democracy in December 1983 and March 1985, respectively. Spektor (2016a) notes that, “A common front with Argentina” worked “as a shield against an ever more intrusive global non-proliferation regime” (p. 645). Three agreements marked a turning point and laid the foundations for future cooperation. The first took place in 1985, with the Foz de Iguazu Nuclear Policy Declaration, a key instrument to face the challenges related to the supply of nuclear fuel and equipment. The second took place in 1986, with the Brasilia Joint Declaration on Nuclear Policy, which sought to establish a system of visits and joint positions in multilateral forums. The third took place in Viedma in 1987. In that year, President Sarney visited the Argentine isotope separation plant at Pilcaniyeu, which led to Alfonsín's visit to the Brazilian Navy's Aramar experimental center in 1988. That year, Sarney and Alfonsín signed the Ezeiza Joint Declaration, reaffirming the commitment of both countries to the peaceful use of nuclear energy.

Yet, there was more than nuclear power. Both countries soon realized that they had an interest in promoting each other's democratic stability and economic growth. “We cannot conceive the future of Brazil without a mutually beneficial friendship with Argentina,” Brazil's President José Sarney said in December 1986 (Riding, 1986). In 1985, Argentina and Brazil signed the Iguazu Declaration and began working on the design of an economic cooperation and integration scheme. In 1986, Alfonsín and Sarney established the Program for Integration and Economic Cooperation (PICE) (Pereyra Doval & Varela, 2014). Two years later, they agreed on the Treaty of Integration, Economic Cooperation and Development, committing to trade integration through the elimination of tariff barriers and the harmonization of policies. In those years, the gradual convergence of ideas and interests created incentives to deepen cooperation in the face of an international environment that was seen as being unfavorable to the interests of middle-income developing countries.

Regime building among internationalists

The end of the Cold War and the beginning of the so-called “unipolar moment” (Krauthammer, 1990), brought a momentum for closer cooperation as low interest rates

in the North encouraged looking South (Campello & Zucco, 2020; p. 79), and pro-business coalitions entered at Casa Rosada and Planalto. This convergence created a powerful set of incentives in Argentina and Brazil to advance cooperation on three long-term commitments. The first commitment continued with the nuclear cooperation started by Alfonsín and Sarney, leading to the Declaration on Argentine–Brazilian Common Nuclear Policy of Foz de Iguazu (November 1990), which established a new approach to engaging in the global nuclear order. It consisted of the constitution of a Common System of Accounting and Control of Nuclear Materials and Facilities (SCCC). The SCCC was implemented through the Agreement on Cooperation for the Exclusively Peaceful Use of Nuclear Energy (Guadalajara, July 1991). Known as the Guadalajara Agreement, this instrument allowed for the creation of the Brazilian–Argentine Agency for Accounting and Control of Nuclear Materials (ABACC). At the international level, Argentina and Brazil ratified the Treaty of Tlatelolco in 1994, a key regional piece to ensure the peaceful use of nuclear energy. A year later, Argentina ratified the Non-Proliferation Treaty. Brazil, perhaps more reluctantly, did the same in 1998 (Pereyra Doval & Varela, 2014).

In 1991, the positive climate established by Argentina and Brazil aroused the interest of Uruguay and Paraguay in joining an economic integration project. This project was embodied in the Treaty of Asunción, which gave birth to Mercosur, founded as a would-be common market. The bloc was partly the result of a tradeoff between free trade and protectionism that boosted the agro-industrial sector while protecting less competitive industries. In December 1994, with the signing of the Additional Protocol to the Treaty of Asunción on the Institutional Structure of Mercosur (Ouro Preto Protocol), the definitive institutional structure was established (Costa Vaz, 2002).

The third commitment consolidated the norm of nonintervention in internal affairs, yet it gradually added the defense and promotion of democracy and human rights in several instruments, such as the Mercosur's Democracy Protocol (Ushuaia Protocol, 1996). Throughout the 1990s, nuclear, trade, and political cooperation became the bread and butter of bilateral cooperation. It was so much so that Brazil's Henrique Cardoso and Argentina's Carlos Menem signed the Rio Declaration in 1997, stating that “Brazil and Argentina are today, as never before in their history, united by the ideals of their people, by their political will, by formally assumed commitments and by a common economic and cultural purpose [...] Together, we are building a deep and true strategic alliance [...] This alliance exists because we have a firm community of values.” (Declaración de Rio de Janeiro, 1997). Cardoso went even further. During the years of his presidency, Brazil began to strengthen its ties with the rest of the South American countries. In 2000, Cardoso called for the first summit of South American countries, a project that leftist governments would later take up by in the region (Bizzozero, 2002).

With Mercosur, Argentina and Brazil opened to trade, and social and political ties were moving in the same direction. Mercosur then ran into problems. Brazil's devaluation in 1999 caused Argentina to seek to restrict imports from the neighboring country. Over time, exceptions to the rules became the rule. In addition, Argentina and Brazil looked at Mercosur in different ways. For example, Menem's Argentina was more open to negotiating a hemispheric free-trade zone with the United States. “I don't want to rule out the Free Trade Area of the Americas,” President Menem said in 1997, at a business meeting in Brazil. For his part, Brazil's Foreign Minister Luiz Lampreia noted, “Mercosur is not a stage toward a Free Trade Area of the Americas” [...] “it is an end in itself” (Schemo, 1997). For all these challenges, Mercosur continued its course, and negotiations began with the European Union on a free-trade agreement between the two blocs.

The South Americanists

By the 2000s, the era of liberal reforms began to crumble. The Argentine economic and presidential crises of 2001–2002, which ended the dominance of a pro-market coalition, and the arrival in Brazil of a left-wing coalition in 2003, created the conditions for a renewed strategic partnership. According to Pereyra Doval; throughout this period, external negotiations also helped to establish shared positions and to negotiate jointly.² During Lula's presidency, Brazil began to unfold a rich set of regional policies, and Argentina jumped on the bandwagon. The making of the Group of Friends in the face of the presidential crisis in Venezuela (2003); the creation of the G20 (2003) and NAMA-11 (2004) within the WTO; the United Nations Stabilization Mission in Haiti (2004); the opposition to the United States regarding the creation of the Free Trade Area of the Americas (FTAA) (2005); the political mediation in Bolivia's presidential crisis (2006), among other events, contributed to fostering similar stances and shared perspectives on regional and global affairs. One of the most outstanding achievements of the strategic alliance was the sharing of seats on the United Nations (UN) Security Council. As Brazil served its 2-year term as a nonpermanent member between January 1, 2004, and the end of 2005, and Argentina did so in the 2005–2006 biennium, the arrangement consisted of mutual consultations on all matters.

Yet, the story to tell is more complicated since interests sometimes diverged. Argentina did not view favorably Lula's attempt to have Brazil occupy a permanent seat on the UN Security Council (a well-known Brazilian aspiration dating back to the creation of the organization). This divergence was remarkable, to the point of forming different pressure groups with opposing stances within the UN. Brazil joined the G4 with Japan, Germany, and India (countries that also wanted to be included as permanent members of the body), and Argentina formed the like-minded group United for Consensus together with Pakistan, Canada, Italy, and Mexico (Malamud, 2011b).

Another disagreement with Brazil was the creation of the South American Community of Nations, which later became the Union of South American Nations (Unasur). Initially, Argentina was reluctant for two reasons. First, Kirchner's preference was for a more comprehensive Mercosur. Second, as Malamud (2011b) states, Argentina was unwilling to endorse Brazil's leadership in South America and opted to cultivate a long-lasting relationship with Chávez's Venezuela as a counterpoint to Brazil's rising prominence.

Economic imbalances were another source of continuous friction, as were exchange rate policies on both sides. Kirchner complained systematically about the trade deficit as he saw how the share of industrial exports gave way to commodities. He also witnessed how Brazil's booming corporations acquired traditional companies in Argentina. Most notable were the purchases of Pecom Energía by Petrobras in 2003, and of Loma Negra by Camargo Corrêa in 2005; the acquisition of most of the shares of the meat packing plant Swift Armour and Brahma in 2005; and the acquisition of Quilmes brewery (Bezchinsky et al., 2007). Although Argentine trade began to recover in 2003 onward, it lost ground in its exchange with Brazil as the neighbor saw its trade with China grow.

Cristina Fernández's (CFK) presidency did not alter this overall pattern (Busso, 2016; Erlich, 2019; Mazzina & González Cambel, 2018; Zelicovich, 2019). The main issues that dominated the bilateral relationship were similar to those of her husband's term, including the deepening of Mercosur from a social and political standpoint; the strengthening of Unasur; international multilateralism; the reform of the United Nations; participation in the G20; the (halted) conclusion of the Doha Round; support for the Malvinas cause; nuclear and space cooperation; energy cooperation; and cooperation in other areas such as health, science and technology, education, social development, and the movement of people, among others. Although interests did not always coincide on these issues, and trade disputes were recurrent,

the convergence of domestic coalitions and the still tailwind international economy made it easier to manage them.

When Dilma Rousseff came to power in January 2011, the mood began to shift. At the global level, the peak of commodity prices signaled the “continuous decline of [good economic times]” (Campello & Zucco, 2020; p. 81) as growth in China slowed and a recession scenario in the Euro-zone became more likely. At the domestic level, Brazil's stakes were high. Aiming at consolidating Brazil's accomplishments from the past decade and continuing its development as a middle-class country, Rousseff focused on the country's domestic agenda, including high labor costs, high taxation, poor infrastructure, and low levels of productivity. Against this backdrop, Rousseff's government took a more restrained approach to foreign policy. In addition, Rousseff's leadership style contrasted sharply with that of her predecessor Lula da Silva.

Two trends became clear during Rousseff's first term. First, China displaced the United States and Argentina as Brazil's main trading partner. Second, Brazil returned to exporting more commodities than manufactured goods for the first time since the late 1970s (Malamud, 2011a). These trends reflected a deeper transformation of Brazil's economy as the farming boom coexisted with a declining share of manufacturing in the country's gross domestic product (GDP) (Jenkins, 2015). As part of China's currency swap diplomacy, Brazil and China sealed a U.S.\$30 billion agreement in March 2013, to act as a backstop to growing trade between the two countries (BBC, 2013). In 2011, trade with Argentina once again became a source of tension as Brazil's exports to Argentina grew 55%, leading to a surplus with that country of U.S.\$6 billion that year. The situation led to a dispute throughout most of 2011, with meetings of presidents, foreign ministers, and public officers who tried to bring sectorial positions closer as a result of the application of nonautomatic licenses on both sides, plus the detention of trucks with goods at the border and other obstacles to imports (Miranda, 2014).

Rousseff's government faced an uphill struggle as slowing economic growth and perceived corruption created unrest among the population. In 2014, the fall in commodity prices led to deteriorating returns for Brazil's exports of soybeans, iron ore, and oil. Between 2011 and 2014, annual growth in GDP plunged from 7.5% to near zero as Brazil started to enter a recession and inflation jumped to almost 7% (Marquetti et al., 2019). In 2015, Rousseff's government, reelected by a very narrow margin, was hampered by stagflation and minimal approval ratings. Massive antigovernment demonstrations took place in several cities throughout the country. All these setbacks moved foreign policy away from the center of gravity. “Brazil's foreign policy is in the dark,” reflected Muggah (2015).

Malacalza and Tokatlian (2022) identify these years as the turning point in the bilateral relationship. Based on a detailed analysis of diplomatic events linking Argentina and Brazil, the authors identify this period as one in which “the logic of decoupling begins to predominate over coupling” (2022, p. 155). Between 2011 and 2015, for example, Tokatlian and Malacalza point to eight events where Argentina and Brazil take divergent stances (e.g., Argentina ceased to be on the UN Security Council when Brazil was a member in 2011, and vice versa when Argentina was a member in 2013), and four where they coincide.

The alliance unravels

In 2016, Brazil was “consumed by the worst political and economic crisis in decades” (Stuenkel, 2016). In May, Brazil's Senate voted to open an impeachment against Rousseff, who was accused of manipulating the federal budget by hiding the true size of the country's deficit. The impeachment put an abrupt end to 13 years of governing by a left-wing coalition led by the Workers' Party. Rousseff's vice president, Michel Temer, acted as the interim president until the end of Rousseff's term in 2018. As expected, Brazil's foreign policy suffered the consequences of

the crisis. Spektor (2016b) noted, “Economic decay and political turmoil at home produced retrenchment abroad.” Stuenkel (2016) stated that “Brazil’s international strategy since 2011 was shaped, above all, by the president’s astonishing indifference to all things international and officials’ incapacity to convince Rousseff that foreign policy could be used to promote the government’s domestic goals.”

Meanwhile, according to Busso (2016), China and Russia would gradually become new focal points in Argentina’s foreign policy. During the Kirchners’ years, China became positioned as the second-largest trading partner. In 2014, Argentina allowed China to build and run a space-tracking facility in Neuquén province for 50 years, the first of its kind outside China. A year later, on an official visit to China, CFK claimed that Argentina and China had made a “qualitative leap” forward in the strategic alliance as both countries “shared similar stances” (CFK, 2015) on multilateral matters, including the UN Security Council reform and sovereign debt restructuring. China, said CFK, was a role model for many other developing countries.

The new government of the pro-business *Cambiamos* (Let’s Change) coalition, inaugurated in December 2015, did not alter this pattern (Iglesias & Lucca, 2019). By 2016, the international environment exhibited the continued rise of China and increasing tensions with the United States as the Obama administration began a rebalancing toward Asia. The Argentine president Mauricio Macri’s initial caution toward China transformed gradually into a closer relationship as he became aware of the opportunities that Beijing could provide to a country eager for fresh flows of foreign investment and credit. Meanwhile, Macri was poised to bring winds of change to the bilateral relationship with Brazil. Indeed, Brazil was the first country in the region that Macri visited before taking office as president, which served as a signal of the place the neighboring country would occupy in the Argentine foreign policy agenda.

Still, the political unrest in Brazil had already begun, together with a deepening polarization. Argentina was left without an interlocutor in the neighboring country and watched from a distance the process that culminated in Rousseff’s impeachment. The effects of the institutional crisis were soon felt in two economic channels—the exchange rate and the financial sector. The *real* devalued against the dollar, as did the Argentine peso, which affected Argentina’s competitiveness. Bonds also fell, sending negative repercussions through an increase in rates. Another problem was that Brazil’s largest internationalized companies were involved in the corruption schemes that triggered *Operação Lava Jato*,³ which generated disinvestment in the region in general and in Argentina in particular.

A less benign international environment, the dividing presence of China in the Southern Cone (Actis, 2015; Bizzozero & Raggio, 2016; Garzón, 2016), a political and presidential crisis in an increasingly polarized Brazil, and a struggling economy in Argentina set the stage for a growing disconnect between the two countries. Russell and Tokatlian (2016, p. 73) observe that the “content and meaning of the bilateral relation” were “a matter of intense discussion, as is Argentina’s role as a minor partner.” The authors point to a number of pending or unresolved issues, including the “consolidation of a strategic partnership,” a “thorough integration through Mercosur,” a “rift between the two countries on military matters,” and the domestic transformations in Brazil, which “raised questions and doubts about its condition as a model to be admired and emulated.” (2016, pp. 73–74) Reflecting on the changing global landscape, Russell and Tokatlian (2016) refer to the rise of China and Russia, among others, in Argentina’s foreign policy agenda as the challenges to building a strategic partnership with its neighbor were “visible and profound.” In sum, the authors conclude,

the level and reach of their similar preferences and convergent interests are not greater than those of their opposite preferences and divergent interests (pp. 74–75).

Broken engagement

In 2018, the triumph of the far-right candidate Jair Bolsonaro in Brazil's presidential elections opened a niche for a more polarized, ideologically intense policy space, including diplomacy (Rennó, 2020). It also signaled the rise of religiously motivated conflict, or “culture wars” (Smith, 2019). Spektor (2022) notes, “The election in 2018 of Jair Bolsonaro further contributed to the general perception that Brazil is growing more isolated, weaker, and less influential in world politics” (p. 10). For all the setbacks, Macri's Argentina sought to expand cooperation with its Brazilian counterpart in what was perceived as an attempt to generate a positive rapprochement. The two leaders wanted greater trade liberalization and found in the 2019 European Union–Mercosur agreement an important point of convergence.

This convergence was short-lived when the leftist Peronist Alberto Fernández of the *Frente de Todos* coalition (Merke, 2019) defeated Macri in the 2019 elections. Bolsonaro's backlash was swift. For domestic political reasons, he saw in his criticism toward Fernández a low hanging fruit for his otherwise mercurial foreign policy. In 2019, while Fernández was campaigning, Bolsonaro anticipated that the triumph of the “leftist bandits” (Infobae, 2019) in Argentina would set off an Argentine refugee crisis in southern Brazil. A week before Fernández assumed office, Bolsonaro claimed that if Argentina “causes trouble, Brazil will leave Mercosur” (Schipani et al., 2019).

Fernández and Bolsonaro pushed the relationship to new lows. Bolsonaro sees himself as a member of a global antiestablishment that is far-right, anti-globalist, anticommunist, and religious nationalist, coupled with what De Sá Guimarães and De Olivier E Silva (2021) call “an anti-foe role, composed of friend/foe narratives” (p. 346). As he took on the presidency, Bolsonaro moved swiftly to disentangle years of statist policies and to liberalize Brazil's economy. Since then, he has constantly exhibited his authoritarian instinct and militaristic leanings, his homophobia, his pro-gun stance, his persistent rejection of climate change, and his anti-China narrative. Fernández meanwhile sees himself as part of a network of progressive leaders in the region, including Chile's Marco Enriquez-Ominami, Mexico's Andrés Manuel Lopez Obrador, Brazil's Lula, and Bolivia's Luis Arce. Whereas Bolsonaro embodies a conservative backlash, Fernández represents a leftward shift in Argentina's society—from gender to human rights and abortion to sexuality. Since he took office, frictions and differences with Brazil on global and regional matters have become pronounced (Merke & Pereyra Doval, 2022). For reasons of space, we concentrate on the most relevant aspects.

First, as the coronavirus disease 2019 (Covid-19) pandemic reached Latin America in March 2020, Argentina and Brazil dealt with the health–economy tradeoff in different ways, which diminished the chances for a more concerted health policy. Fernández took a “health first” approach by imposing one of the strictest lockdowns in Latin America, to curb the spread of the coronavirus. Bolsonaro, on the contrary, downplayed the severity of Covid-19 (he called it “a little flu” [La Nación, 2020]) and gave priority to keeping Brazil's economy running as he openly sidelined health experts from decision-making. Because of these dissimilar approaches, cooperation to contain the virus, to facilitate medical attention in border cities, and to exchange views on vaccine development and procurement was scarce or nonexistent (Alvarez, 2022).

Second, Presidents Fernández and Bolsonaro see the growing rivalry between the United States and China differently. On the one hand, Bolsonaro exhibits an ideological standpoint that denounces the engagement of the Chinese Communist Party—“China is not buying in Brazil, China is buying Brazil,” said Bolsonaro during his campaign (Mander, 2018)—as well as the progressive stance of the US Democratic Party.⁴ On the other hand, Fernández has exhibited a more pragmatic stance toward Joseph R. Biden and Xi Jinping. Argentina needed US support to negotiate its debt with the International Monetary Fund (IMF). It needs Chinese trade and credit to make its economy grow. The margin for collaboration between

Argentina and Brazil to engage in a joint dialogue with the United States and China seems quite limited today.

Third, Bolsonaro and Fernández disagree on how to address Mercosur's drifting norms, national exceptions, and lack of direction. In 2019, the trade agreement with the European Union was made possible only by a rare and short-lived overlap of pro-business political leaders, namely Macri's Argentina and Bolsonaro's Brazil. Brazil has often signaled its intent to seek trade deals outside the bloc. Bolsonaro wants a more open bloc, with lower tariffs and more flexible rules. Fernández' coalition wants a stronger bloc and is reluctant to negotiate free-trade agreements. "It is with more integration, not less, that we will be in better conditions," said Fernández at the 2021 Mercosur summit (Mander, 2021). Yet, the underlying trend seems to be a bloc that is stuck at the limits of its own design and therefore attracts less and less attention. The latest compromise between Buenos Aires and Brasília consisted of a marginal cut to most import tariffs from countries outside the bloc, from 13% to 10.8%, far from Brazil's proposal to reduce them by half.

Fourth, the crisis in Venezuela set Fernández and Bolsonaro on different sides of the conversation. In 2019, Bolsonaro promised to "do everything for democracy" (Télam, 2019) in Venezuela. His son Eduardo, a sort of shadow foreign minister, stated that Maduro was a "cancer" that had to be "excised" (Phillips, 2019). Argentina instead adopted a more conciliatory tone, condemning human-rights violations yet seeking to carve a space for dialog between the parties. Eventually, the Brazilian government aligned with the Lima Group (a diplomatic coalition established in 2017, to push for regime change in Venezuela) and the United States in supporting the interim presidency of Juan Guaidó. Argentina ended up withdrawing from the group in March 2021, arguing that its efforts had "led to nothing." (MRECIC, 2021).

Fifth, initiatives for deeper cooperation in the nuclear sector are a long way off. As Spektor et al. (2019) report, Brazil aims "to launch a nuclear-powered submarine, produce naval nuclear fuel, explore new uranium mines, construct a third nuclear power plant, expand uranium-enrichment capacity, and launch a new research reactor" (p. 12). None of these aims includes Argentina as a partner. According to Soares et al. (2020), Brazil's reluctance is explained by the Bolsonaro government's pro-sovereignty stance. They argue, "the Brazilian position has limited the possibilities of a strategic partnership in the nuclear area between Argentina and Brazil, since the latter has opted to limit relations with Argentina to the axis of cooperation rather than deep integration, which would include an opening of the country to the exchange of sensitive knowledge related to the area of international security" (p. 119). Over the past 20 years, Argentina and Brazil have developed different nuclear profiles. Argentina has an entirely civilian program controlled by an independent nuclear regulatory agency. In Brazil, the Navy controls the nuclear program, a trend that has only increased during the Bolsonaro administration. Argentina is betting on the foreign market, seeking to export reactors, laboratories, and radioactive substances. It has sought to join as many nuclear clubs as possible to ensure its reputation as an honest trader. Brazil has instead focused more on the domestic market and has invested a large part of its resources in the construction of a nuclear-powered submarine.

Finally, on climate change, Argentina and Brazil have adopted starkly different attitudes toward climate governance (Franchini & Evangelista Mauad, 2022). While Argentina's fundamental problem is how to accelerate the decarbonization of its energy system (in Brazil, renewable energies abound), Brazil's most crucial predicament is the advance of deforestation in the world's largest rainforest and the lack of enforcement mechanisms. Both countries committed at the Glasgow COP26 to reduce methane emissions and to end illegal deforestation by 2030, but cooperation on these and other matters is declining. Bolsonaro's disregard for climate change and multilateral engagement makes things more difficult for bilateral cooperation to occur. Brazil has signed environmental cooperation agreements with all South

American countries, but Argentina has been its main partner on these issues. Although the agenda has always been somewhat diffuse, permeated transversally by other topics, from 2000 to 2009, there is a peak in the signing of bilateral agreements, which drops significantly in the decade 2010–2019, confirming our position.

If, until 2018, Brazil was still signing acts of cooperation in environmental matters, currently the Brazilian political context has changed drastically. The Bolsonaro government, starting in 2019, has dismantled public policies for the preservation of biodiversity conducted by IBAMA and ICMBio and has pardoned several environmental infractions, which denotes the low importance of this agenda in his government, and the corresponding unwillingness to promote regional cooperation on this matter (Pozzatti & Jorgielewicz Rogovschi, 2021; p. 16).

As this summary review shows, cooperation between Argentina and Brazil did not happen overnight. It evolved gradually and grew in complexity over time. A convergence of strategic interests was followed by the return of democracy in the 1980s. The end of the Cold War prompted state reform and economic opening in the 1990s, but the relationship gradually lost economic dynamism and, in the 2000s, a more political outlook grew. In the next decade, a combination of political polarization and economic recession led to a deficit of attention paid to the bilateral relationship. During his two terms, Lula traveled 18 times to Argentina; Rousseff, 5; and Temer and Bolsonaro, only twice. On the Argentine side, Kirchner traveled to Brazil five times; Fernandez de Kirchner did so on eight occasions; Macri, on five occasions; and Fernández, never. Indeed, Bolsonaro's two trips to Buenos Aires were during the Macri administration. Fernández and Bolsonaro have not yet had an official bilateral meeting, beyond crossing paths at Mercosur or G20 meetings. Lastly, the rise of China has also altered trade and diplomatic incentives on both sides.

TESTING THREE EXPLANATIONS

Preferences and domestic coalitions

As we show in the previous section, preference convergence between incumbents seems to be a key factor in boosting bilateral cooperation. There is a substantial body of literature on foreign-policy analysis that highlights the need to take a closer look at the incumbents and the political coalition that supports them. Milner and Tingley (2015, p. 263) point out that the executive branch negotiates and interacts with other leaders, acting as a transmission belt between the international environment and domestic politics; perceptions about the world shape the content and tone of the foreign policy. Several authors who have written about Latin America have emphasized the necessity of examining closely the role of presidents (Burgess & Chagas Bastos, 2017; Hey & Mora, 2003; Jenne et al., 2017). Malamud (2015) refers to “interpresidentialism” as a diplomatic institution in the region, and Emerson (2015) refers to the “presidentialization” of foreign affairs. This process, Emerson says, has led to a short-term focus placed on the electoral cycle and a greater degree of personalism in foreign affairs.

The most systematic effort so far is the work by Etel Solingen (1994, 1998, 2001). For Solingen (1998), political coalitions function as a transmission belt between the domestic and international environment. Although coalitions vary along different dimensions, Solingen (1998) identifies two Weberian “ideal-typical” coalitions—the distinction between inward-nationalist and outward-internationalist coalitions. Solingen (1998) says this distinction is fundamental in that it captures important definitions about how these coalitions connect to the world. Predictably, each coalition exhibits a different set of foreign-policy preferences.

Inward-looking coalitions are based on a nationalist standpoint, adopt protectionist measures, and aspire to state autonomy and control in various areas (e.g., technology and security sectors). By contrast, internationalizing coalitions show a standpoint more committed to the liberal international order, including export-oriented economic growth, and are more prone to “profit-seeking” (Schweller, 1994). To be sure, these are stylized coalitions, and it will always be possible to find coalitions somewhere in the middle of the continuum.

The relationship between political coalitions and cooperation seems intuitive. There is a significant body of literature indicating that cooperative relations between governments are often associated with a convergence of leaders' ideologies and a low level of threat perception (Hopf, 2002; Nau, 2002; Owen, 2010; Wendt, 1999). Weisiger (2011) finds a statistically significant relationship between ideological distance and the likelihood of military conflict. Examining these dynamics in Latin America, Barletta and Trinkunas (2004) introduce the “balance of identity” between governments. Put simply, what threatens a state in Latin America is not the relative power of its neighbors but the different political identities they exhibit.

From this literature, we should be able to establish a connection between levels of political convergence between the presidents of Argentina and Brazil and levels of bilateral cooperation. To analyze the political distance between presidents, we resort to three different ways of estimating it. The first is simple, qualitative, and trichotomous, placing each president to the left, center, or right of the ideological continuum. To do so, we use a database of leaders' ideologies that Bastian Herre (2022) identified for all world leaders between 1945 and 2020. Second, we take an estimate from the expert survey conducted by Merke and Reynoso (2016); each president is placed on a continuum ranging from 1 to 7, where 7 is the maximum value for the right. Finally, we use a broader and more elaborate way of understanding political distance, which involves estimating the foreign-policy orientation of each president.

To examine foreign-policy orientation, we use data from the Latin American Foreign Policy Expert Survey elaborated by Merke and Reynoso (2016).⁵ In the survey, the authors asked experts to evaluate each president in three dimensions—trade policy (protection vs. openness); geopolitical orientation (pro-North vs. pro-South); and relationship toward the United States (alignment vs. autonomy). Using the coalition types developed by Solingen (2018) (inward-nationalist vs. outward-internationalist), we assume that those presidents with a protectionist, pro-South, and autonomy-seeking orientation will be closer to the inward-nationalist end of the continuum. Conversely, those presidents with an open-trade stance, who are close to the global North and aligned with the United States, will be closer to the outward-internationalist end of the continuum. As expected, when examining the values in these three dimensions, we found a very high correlation between them, above 90%. We proceeded to aggregate the three dimensions into a single foreign-policy variable.⁶ Table 1 shows the data for these three measures.

As Table 1 shows, the correlation between the two ideology estimates is high. All the presidents that Herre (2022) evaluates as leftist are placed toward the lower values of the left–right continuum in Merke and Reynoso's survey (2016). On the other hand, presidents typified by Herre (2022) as rightists are placed toward the higher values in Merke and Reynoso's survey (2016). There are some discrepancies in that Duhalde is closer to the center in Merke and Reynoso's (2016) scale but appears as leftist in Herre's (2022) measurement. De la Rúa appears further to the right on the Merke and Reynoso (2016) scale, but on Herre's (2022) scale he qualifies as centrist.

The foreign-policy orientation makes the variability among presidents more apparent. In the case of de la Rúa, who appears as a centrist for Herre (2022), he now appears more inclined to an outward-internationalist coalition, somehow inherited from the presidency of Carlos Menem, although implemented with less intensity, and closer to the orientation of Fernando Henrique Cardoso. In the third column, the coalition-type continuum appears more clearly,

TABLE 1 Ideology and domestic coalitions in Argentina and BrazilCountry

	President	Ideology (Herre, 2022)	Ideology (1–7 right)	Domestic Coalition (0–1 liberal/outward coalition)
Argentina	Cristina Fernández	Leftist	1.9	0
Brazil	Luiz Inacio Lula da Silva	Leftist	2.44	0.08
Argentina	Néstor Kirchner	Leftist	2.8	0.19
Brazil	Dilma Rousseff	Leftist	3	0.21
Argentina	Alberto Fernández	Leftist	2.7	0.27
Argentina	Raul Alfonsín	Leftist	3.6	0.32
Brazil	Jose Sarney	Rightist	5.11	0.51
Argentina	Eduardo Duhalde	Leftist	4.6	0.54
Brazil	Itamar Franco	Rightist	4.44	0.64
Brazil	Michel Temer	Rightist	5.1	0.66
Brazil	Fernando Henrique Cardoso	Centrist	4.78	0.67
Brazil	Fernando Collor de Mello	Rightist	5.67	0.91
Argentina	Fernando de la Rúa	Centrist	5.9	0.94
Argentina	Mauricio Macri	Rightist	6.3	0.98
Argentina	Carlos Menem	Rightist	6.3	0.99
Brazil	Jair Bolsonaro	Rightist	7	1

Source: Herre (2022); Merke and Reynoso (2016).

with CFK representing the inward-nationalist extreme of the sample and Jair Bolsonaro representing the outward-internationalist extreme of the sample.

If we look at the relationship between ideology and coalition type, we notice that they are highly correlated. As Figure 1 shows, it is possible to identify three groups of presidents. At the bottom left of the graph, we have a group of presidents ideologically positioned to the left and exhibiting an inward-nationalist orientation. At the top-right corner, we have a group of presidents positioned to the right and with an outward-internationalist orientation. Somewhere in the middle, there are presidents who gravitate toward the center and who have an intermediate orientation between the two types of coalitions. When comparing the three groups, it is not surprising to see that the presidents with the best relationships with their peers positioned similarly on both dimensions. Menem with Collor de Mello, and CFK with Lula da Silva are the two most notable examples.

The difference these values produce when we rank them by president pairs from 1985 to 2022 is another way to examine these data. During this period, we count 13 pairs of presidents (Alfonsín–Sarney, Menem–Collor de Mello, and so on). If we take each pair as our unit of analysis, we can calculate the ideological distance and the distance in international orientation within each pair. As Figure 2 shows, the Macri–Rousseff and Fernández–Bolsonaro pairs exhibit the greatest political distance of all the dyads. This distance coincides with moments of estrangement in the bilateral relationship. On the other hand, we can look at the relationship between Menem and Collor de Mello, or CFK and Lula de Silva, which represented two times when Argentina and Brazil were more amicable toward one another.

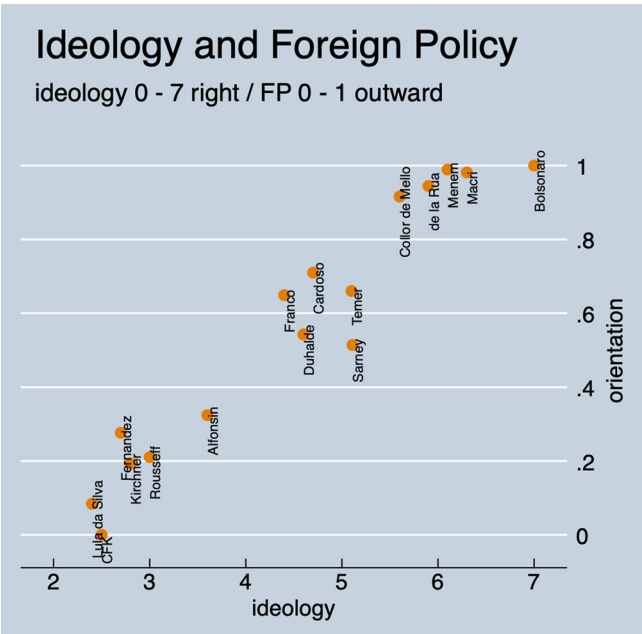


FIGURE 1 Ideology and Foreign Policy. *Source:* Merke and Reynoso (2016).

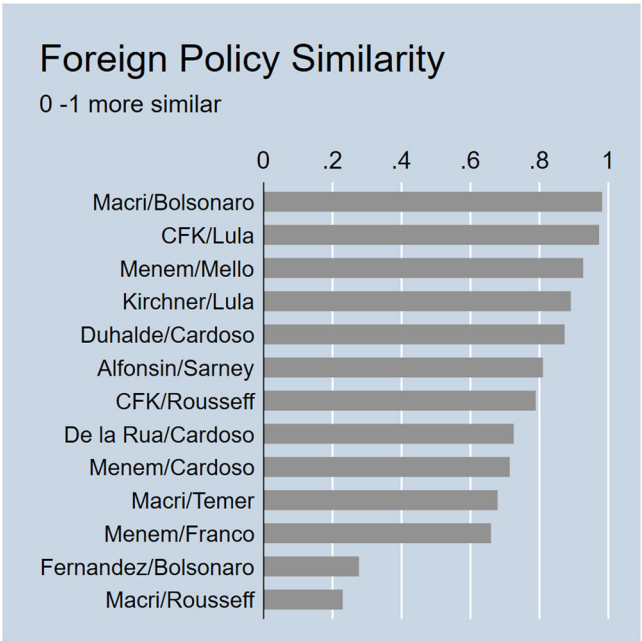


FIGURE 2 Foreign Policy Similarity. *Source:* Merke and Reynoso (2016).

From these observations, we can infer that the nature of the coalition (whether it is inward-nationalist or outward-internationalist) has an important effect on bilateral relations. Still, the political dimension is not the whole explanation. As Figures 2 and 3 show, Macri and Bolsonaro exhibit little ideological distance and little distance on foreign-policy orientation.

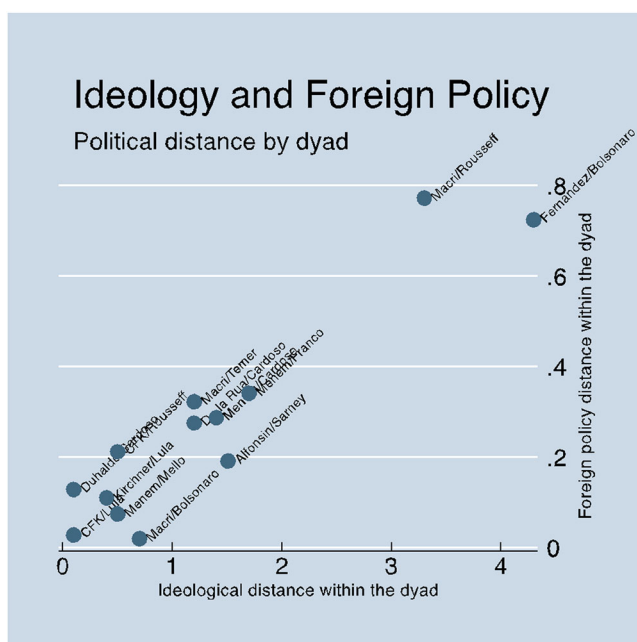


FIGURE 3 Ideology and Foreign Policy. *Source:* Merke and Reynoso (2016).

Yet, the bilateral relationship in the short time that both presidents coexisted could not advance as one might have anticipated by looking at these data. Despite their ideological similarity, Dilma Rousseff and CFK's relationship also revealed a decline in diplomatic and political ties. In other words, it is safe to say that political distance between incumbents makes the relationship more challenging, yet political proximity is not a sufficient factor since there are other barriers outside of politics. These barriers are the subject of the next two subsections.

Interests and the political economy of bilateral relations

Our second explanation looks at the reach and boundaries of trade and how it has shaped political and bilateral diplomatic relations. Economists and internationalists have long studied the relationship between trade and foreign policy. The general idea is that diplomacy and trade are intertwined, although the direction of the relationship remains a matter of debate. While liberals (Oneal & Russett, 1999) argue that trade enhances diplomatic relations, realists typically reverse the argument by asserting that trade results from peaceful relations in general and political–military alliances in particular (Gowa & Mansfield, 1993).

Hirschman's (1945) work was one of the first modern attempts to establish the consequences of trade for foreign policy. His argument, put simply, is that trade interdependence between states creates convergence in foreign policy. Hirschman argues that the more two states trade with each other, the more incentive they have to agree on fundamental issues of diplomacy as the costs of disrupting trade become increasingly high. This situation is particularly true for the state most dependent on the relationship, which is under more pressure to make concessions to avoid being pushed aside by its partner. Keohane and Nye (1977) later examined state behavior in circumstances of asymmetric interdependence, concluding that it was a source of power for the less dependent party and a source of weakness for the more dependent party in making arrangements with its larger partner.

The other related argument has to do with the relationship between trade and foreign policy constituencies. It adds a new layer as it considers actors from the business world who have an interest in maintaining the government-to-government relationship. Kirshner (2008) has developed this argument, arguing that an increase in trade between two countries broadens the domestic constituency for even closer diplomatic ties. According to this logic, greater trade implies more bases of support, and greater bases of support imply a denser bilateral relationship. Put another way, the economic bandwidth (i.e., the business network) that exists in an interaction generates incentives to increase diplomatic ties and adopt a convergent foreign policy.

These two arguments are relevant to understand the evolution of bilateral cooperation between Argentina and Brazil and allow us to examine how economy and politics, that is, trade and diplomacy, interacted. Available data show a pattern that combines reversals and stagnation in the economic ties between the two countries. First, as Figure 4 shows, trade between the two countries has declined in recent years when viewed as a percentage of each country's total exports and imports. In 1998, 13% of Brazil's exports went to Argentina. In 2020, that number dropped to 4%. In 1998, 31% of Argentina's exports went to Brazil. In 2002, that percentage dropped by almost half (Atlas of Economic Complexity, 2022).

Another way of estimating bilateral trade is to examine the level of (inter)dependence between the two by looking at the share of exports and imports of GDP. As Figure 5 shows, interdependence rose and fell sharply for Argentina, reaching its peak for dependence in 2007, and then declining to values similar to those at the beginning of Mercosur. On the Brazilian side, the curve is relatively flatter, but a decline in Argentina's dependence is observed from 2011 onward. Trade and ideological or foreign-policy convergence do not appear to be related at first glance. In fact, Argentina's lower dependence began to take shape during the years of diplomatic collaboration between the Kirchners and Lula. Moreover, the current trade growth is taking place during a political rift between Argentina and Brazil.



FIGURE 4 Trade between Argentina and Brazil. *Source:* Atlas of Economic Complexity (2022).



FIGURE 5 Argentina and Brazil's Trade Dependence. *Source:* IMF (2022).



FIGURE 6 Brazil's trade dependence on Argentina and China. *Source:* IMF (2022).

Second, China's rise in the export market share correlates with the fall in bilateral trade between Argentina and Brazil. In 1998, China accounted for slightly less than 2% of Brazil's exports, but in 2010, that number reached 15%, and then 30% in 2020. Argentina's figures show somewhat lower scores, ranging from 2% to 9% between 1998 and 2020. Figure 6 shows the

downward trend in Brazil's dependence on Argentina and the sharp increase in dependence on China.

In recent years, there has been discussion about the effect China's trade with Latin America has had on the region's manufacturing sector (Jenkins et al., 2008; Wise & Chonn Ching, 2018). One well-established argument is that an increase in the demand for commodities by China, together with an increase in Chinese competition in manufactured goods, is leading the region to a renewed specialization in the production and commercialization of commodities. The result of this dynamic is the loss of relevance of the manufacturing sector and the consequent deindustrialization of the countries in the region.

Machado and Ferraz (2006) studied Brazil's trade flows between 1996 and 2002, finding that Brazil began to lose market share to China. A study by the Industrial Federation of the State of São Paulo (FIESP) estimates that Brazil lost exports totaling U.S.\$12.6 billion to China, the United States, the European Union, and Argentina between 2004 and 2009 (Jenkins, 2014; p. 397). Jenkins (2014) analyzes the effects of Chinese competition on Brazil's manufacturing exports to its main markets and finds an increasing loss of competitiveness. Figures 7 and 8 show the decline of the manufacturing sector in Argentina and Brazil as a percentage of GDP and as a percentage of exported goods.

To be clear, we do not claim that exports to Argentina are decreasing *because* exports to China are increasing. Brazil exports to China natural-resource-intensive products such as soybeans, which are not the products it exports to Argentina. Our observation is that the development of Brazil more focused on agricultural exports and less dependent on industry is a Brazil more oriented to Asia and the World Trade Organization (which is the organization where the conversation around agricultural products takes place) than to Argentina or the Mercosur. This export profile also might imply the political mobilization of other business actors more interested in opening markets abroad and less interested in Argentina. We do not have the evidence to support this assertion, but we argue that it merits further study.

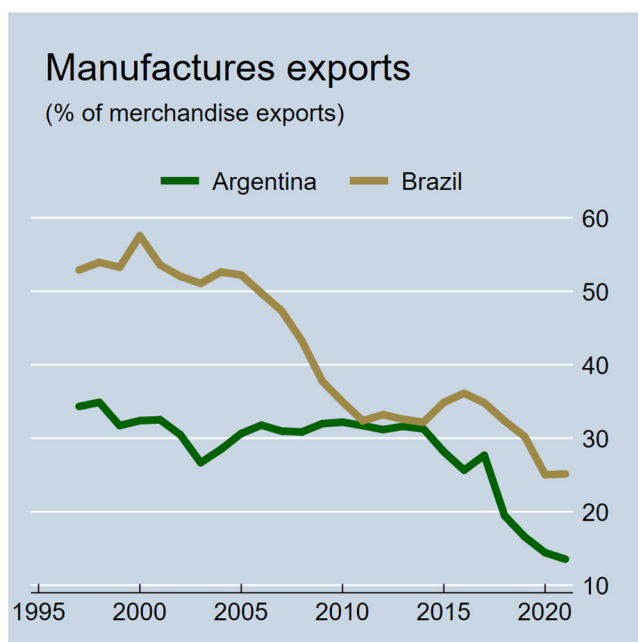


FIGURE 7 Manufactures exports. *Source:* World Bank (2022).

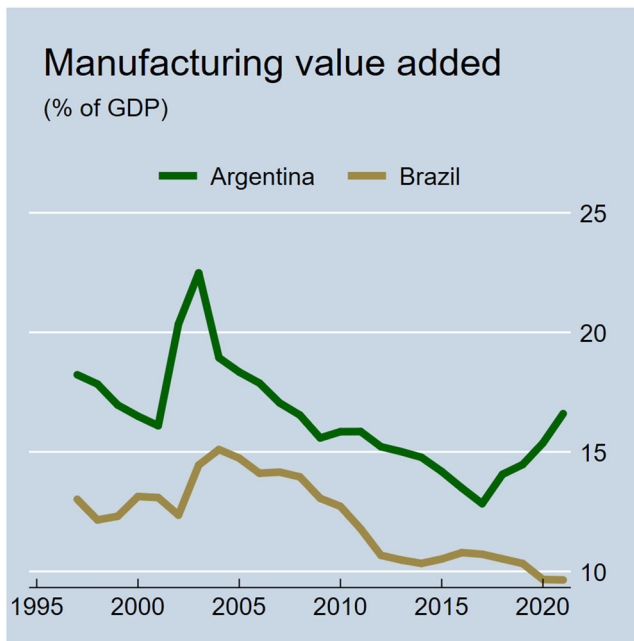


FIGURE 8 Manufacturing value added. *Source:* World Bank (2022).

Something similar is taking place in Argentina, where manufacturing exports as a percent of total exports fell from 35 to 14 between 1996 and 2021. What we might have is the formation of agricultural coalitions in Argentina and Brazil that are gaining muscle against the industrial coalitions on both sides, which are most interested in the bilateral relationship since the bulk of trade between Argentina and Brazil is in industrial products. If this argument is correct, business-minded agricultural coalitions in Argentina and Brazil are seeking new markets and more protectionist, industrialist coalitions interested in maintaining the neighboring country's market, but with a decreasing relative weight in the international orientation of both countries.

Third, also from a political economy perspective, it is necessary to consider sectors and regions. Working with data from 2019 (Embajada de Argentina en Brasil, 2021), almost half of what Argentina exported to Brazil came from the automotive sector; 32% came from the agribusiness sector, and 18%, from industrial sectors. In Brazil, the automotive sector represented 40% of exports, along with another 44% from industrial sectors and 12% from the agribusiness sector. This concentration in the transformation industry translates into geographic concentration. Brazil has 27 federal unities. In 2019, 72% of what it imported from Argentina went to five unities—Parana, Santa Catarina, Rio Grande do Sul, São Paulo, and Minas Gerais (Embajada de Argentina en Brasil, 2021).

Figure 9 examines the number of Brazilian municipalities (of 5570) that exported to Argentina between 2005 and 2020 (Comex Stat, 2022). As Figure 9 shows, the percentage of municipalities remained relatively stable in this period, with values between 13% and 16% of the total number of municipalities. The other interesting fact is the number of municipalities necessary to reach 70% of Brazil's exports to Argentina. In 2013, for example, 40 municipalities were enough to reach 70% of exports. In other words, in 2013, just under 1% of Brazil's municipalities handled 70% of Brazil's total exports to Argentina. In 2021, the number stood at 58 municipalities, just above 1%. These municipalities are in the three or four regions that export the most to Argentina, such as São Paulo and Rio Grande do Sul.⁷



FIGURE 9 Municipalities exporting to Argentina. *Source:* Ministry of Industry, Trade, and Services of Brazil (2022).

We observe that the bilateral relationship between Argentina and Brazil has become less interdependent over time. In addition, it has not been able to see its support bases grow across actors and regions or reduce state-imposed transaction costs, and it faces broader challenges such as deindustrialization (i.e., loss of industry in the economy and trade) and the growth of an increasingly closer relationship with another trading partner such as China. If this secular pattern is correct, it is quite plausible that the bilateral relationship has become less relevant from a trade perspective and faces economic obstacles that go beyond the electoral cycle and the convergence or not of political coalitions. As a result, the relationship became stranded in a low-level equilibrium that may harm its long-term continuity. Also, industrial decline may have political consequences. Research done in Brazil (Iacoella et al., 2020) found that the zones most negatively affected by trade liberalization in the 1990s were the most likely to vote for Jair Bolsonaro. Still, beyond these traits, there are others of a more structural nature that can also be thought to explain the evolution of the bilateral relationship.

The shadow of the future amid polarization

As we saw above, Argentina and Brazil have gone through a broad set of challenges that lies behind all foreign policy and has to do with the economic and political conditions that make a country interested in cooperation and bargaining with its neighbors. The argument is quite simple—as countries' relative wealth increases, so do their international policy agendas. This reasoning relies on a well-known concept—the shadow of the future. Developed in game theory (Axelrod, 1984), this concept claims that two players will behave in a different way if they anticipate that they will interact in a repeated way over time. Thus, the shadow of the future expresses a probability of duration, indicating the expectations that the players have about the future interaction. In the International Relations discipline, there is extensive literature that has

examined the role that the shadow of the future plays in international cooperation. One of the most sustained findings, consistent with the reasoning above, is that the larger this shadow is, the greater the chance of cooperation between governments. This effect takes place not only at the time the bargaining starts (Bearce et al., 2009) but also during the enforcement phase (Axelrod et al., 1986; Axelrod, 1984).

When deciding whether to enter into negotiations of some kind, the shadow of the future affects leaders' decisions in two ways. First, leaders estimate the value of a new policy to be negotiated relative to the value of the status quo that would be preserved if the negotiation did not take place. Second, leaders assess whether cooperation will still be possible once the enforcement phase arrives (Bearce et al., 2009). In other words, leaders estimate how likely they are to be the main beneficiaries of the cooperation. Thus, the more chances they have of remaining in power, the greater the chances of initiating new bargaining processes. The chances of being in power have to do with fundamental economic and political factors, so the shadow of the future of a leader with a growing economy and a chance of reelection will be greater than that of a leader with a falling economy and little chance of reelection.

How does this argument help to account for the bilateral relationship? One way to tell this story is to look at the evolution of GDP and GDP per capita over time. Following Beckley's (2020) advice to multiply both values to get an estimate of a country's total resources, Figure 10 shows the evolution of these variables over time for both countries.

The figure shows three moments of relative increase in resources on Brazil's side. The first took place in the 1970s, and lasted until the early 1980s, in the context of the so-called "Brazilian miracle." The second period took place in the early 1990s, and occurred in the context of what became known as the Washington Consensus. The third moment took place in the early 2000s and reflected Brazil's so-called rise during the Lula years. As can be noted, Argentina and Brazil increased their wealth resources until 2010, when both countries, albeit at different levels, stopped growing.

It is striking that these three moments of relative economic rise coincided with moments of increased bilateral cooperation with Argentina. Between the late 1970s and early 1980s, there

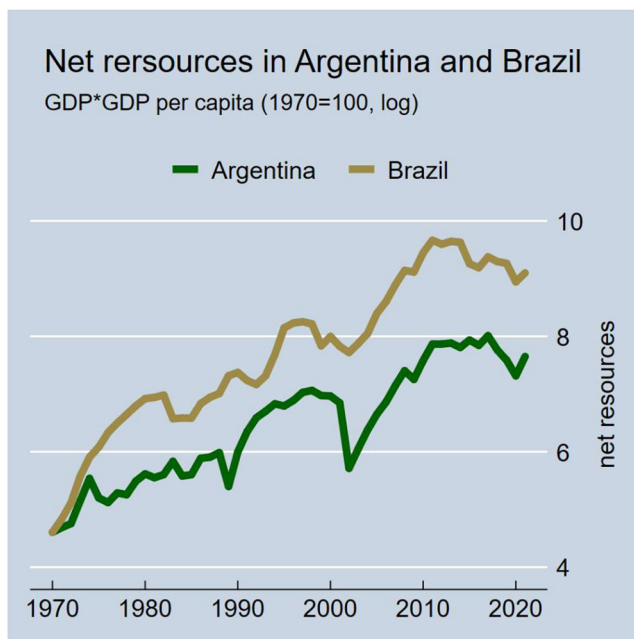


FIGURE 10 Net resources in Argentina and Brazil. *Source:* IMF (2022).

was first military-to-military cooperation, and then civilian-to-civilian cooperation, which marked an important period of strategic rapprochement. The early 1990s saw the negotiations that laid the foundations for Mercosur and the Brazilian–Argentine Agency for Accounting and Control of Nuclear Materials (ABACC). In the early 2000s, Argentina and Brazil developed cooperation aimed at achieving South American political autonomy. This pattern fits well with the shadow of the future model.

Starting in 2010, Brazil began to experience a decline in growth (from growing 7.5% in 2010, to 0.9% in 2012), reaching negative rates in 2015 and 2016. In those years, unemployment increased significantly, reaching 13%, and the fiscal deficit went from 2% of GDP in 2010, to 10% in 2015. On the political front, Brazil began a new cycle marked by corruption scandals (the *Lava Jato* investigation led to the conviction of 174 people, including some of Brazil's most important politicians), increased social protest, and political polarization. The impeachment of Dilma Rousseff left a more unstable political landscape and demanded greater attention from all the country's leaders. Foreign policy as a whole, not just the relationship with Argentina, took a back seat. What came next is familiar history. Bolsonaro's triumph opened a new cycle in Brazilian politics, which, combined with the Covid-19 shock, brought less growth and more polarization.

On the Argentine side, things were not much different. Starting in 2011, the country practically stopped growing, showing negative rates in 2012 and 2014, and turning a fiscal surplus of 2% of GDP in 2005 into a deficit of almost 6% in 2015. Macri's government seemed determined to amend the economic course; yet, after showing positive rates in 2015 and 2017, the country then turned to negative rates in 2018 and 2019, and poverty and inflation grew, giving way to the triumph of the opposition, this time led by Alberto Fernández of *Frente de Todos*. Since then, inflation has not stopped growing, exceeding 50 points in 2021. In 2020, the Covid-19 shock caused a drop of almost 10 points of GDP. With a ruling coalition fractured by political infighting and an economy that still shows no signs of recovery, foreign policy, not only the relationship with Brazil, also took a back seat.

There is more than secular stagnation. As Figure 11 shows, political polarization in Argentina and Brazil has been moving upward, albeit at different rates. In Argentina, it began

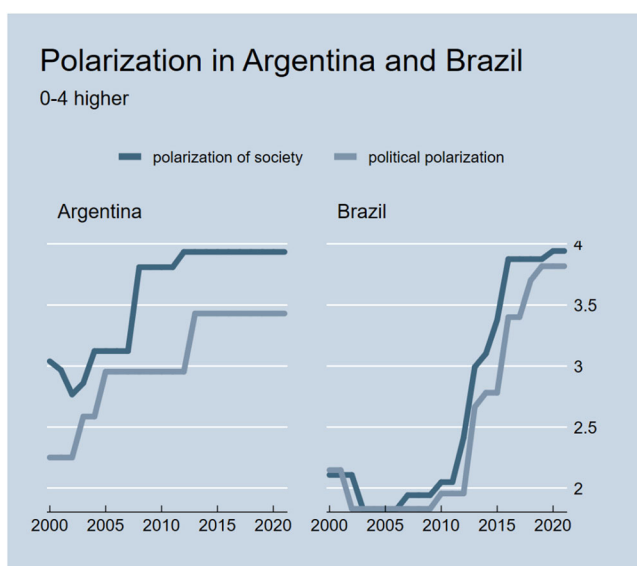


FIGURE 11 Polarization in Argentina and Brazil. Source: V-Dem Institute (2022).

with the 2001–2002 crisis, whereas in Brazil it started in the 2010s and deepened in the middle of that decade in the context of corruption scandals. While in Argentina polarization appears to be more stable since approximately 2012, in Brazil, the period from the last years under Rousseff to the accession of Bolsonaro saw it grow. Although the relationship between polarization and foreign policy is a topic that is only now beginning to be studied, the literature (Friedrichs, 2021; Jeong & Quirk, 2019; Smeltz, 2022) points out two aspects that interest us—that polarization makes the discussion of domestic politics even more important, and that foreign policy, including trade policy, becomes even more politicized. “Look where Argentina is going,” said Bolsonaro at the launch of his presidential campaign for the October 2022 Brazilian elections in July 2022, to equate the Argentine government with the candidacy of Lula da Silva (La Política Online, 2022). In other words, a case can be made that domestic polarization in the presence of diverging domestic coalitions between Argentina and Brazil (as is the case today with Jair Bolsonaro and Alberto Fernández) serves only to increase external polarization, thus eroding the relationship further.

CONCLUSIONS

In this article, we examine the rise and decline of the strategic relationship between Argentina and Brazil. After reviewing the stylized facts that shaped the evolution of the relationship, we present a plausibility probe of three possible explanations to account for these developments. First, we find that preferences play an important role in bilateral cooperation. Moments of greater cooperation coincide with moments of greater convergence, as in the case of Menem with Collor de Mello and of CFK with Lula. Conversely, periods of greater divergence, such as Macri with Rousseff and Bolsonaro with Fernandez, reduce the space for the identification of shared goals.

Second, material interests seem important because they oil the relationship and can broaden the bases of support for greater engagement with the neighbor. Unlike preferences, which may be subject to the electoral cycle, material interests are driven by other processes of a more structural nature, such as the rise of China and deindustrialization in Argentina and Brazil. If this argument is correct, the next presidents of Argentina and Brazil will have to face these challenges, beyond the convergence of foreign-policy preferences. This explanation would explain, in part, the lack of agenda and dialogue between Temer and Bolsonaro on the one hand and Macri on the other.

Third, we find that the shadow of the future seems to play a key role in the explanation. Simply put, Argentina and Brazil stopped producing initiatives when they stopped growing and when political instability increased in Brazil following the impeachment of Rousseff. In turn, polarization, probably also linked to the lack of growth, reduced the chances of cooperation. The shadow of the future could shift and grow larger. Argentina and Brazil could resume growth and sit down together to discuss a shared future, but such a scenario seems very unlikely in the short term. In a world affected by pandemics, geopolitical shocks, and the continuity of polarized elites, the prospects for sustained growth seem farther away.

The analysis requires us to think of these explanations as interacting with each other. On the one hand, there are more structural factors, such as the number and scope of players with material interests in the other country. On the other hand, there are variables that could change in the short term, such as a divergence of preferences. There are also drivers that could change in an intermediate period, although the chances seem low today. It means that the partnership between Argentina and Brazil can still prosper, but the planets will have to align in a particular way. Otherwise, any attempt at cooperation, however bombastic it may appear, will be short-lived.

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ENDNOTES

- ¹ They met in person twice (at the 2021 G20 Meeting, and at the 2021 Mercosur Summit), but never in a face-to-face bilateral meeting. Now is the first time such has happened since the return to democracy.
- ² Lula's Brazil and Kirchner's Argentina signed, among others, the Buenos Aires Consensus (October 2003); the Copacabana Act (March 2004); the declaration of the Argentine–Brazilian Friendship Day; the Puerto Iguazú Commitment (November 2005); and the Joint Presidential Declaration of Brasília (January 2006). These agreements sought, among other things, to strengthen the strategic alliance through political cooperation. The search for a convergent stance on common issues such as the development of a subregional space; the strengthening of the existing integration blocs (e.g., Mercosur), and the establishment of new mechanisms (e.g., Unasur); the bi-regional agreement with the European Union, and the improvement of regional infrastructure are recurring topics in the declarations. The *Puerto Iguazú* Commitment is the most concrete declaration since it led to the signing of 22 protocols ranging from nuclear cooperation to labor and educational issues.
- ³ The *Operação Lava Jato* was a corruption scandal that erupted in March 2014. It concerned a money-laundering and diversion scheme involving Petrobras, large companies, and several politicians. One of the first to be incarcerated was Paulo Roberto Costa, Petrobras' former Director of Supply, who was being investigated for irregularities during the purchase of the Pasadena Refining System by Petrobras in 2006. In his statement, Costa said that there was a complex corruption scheme; as part of it, several politicians allegedly received a kickback of 3% of the value of each contract signed by the oil company. At least five political parties allegedly received kickbacks in connection with the signing of contracts. The kickbacks allegedly came from the diversion of public resources obtained from over-invoicing the works of the “Companies Club” or “Tips Club”; construction companies allegedly shared tenders in exchange for bribes (Doval & Actis, 2016).
- ⁴ Indeed, his alignment with the United States was more of an alignment with the Donald Trump administration and what it stood for, namely, anti-China sentiment; climate change skepticism; ascendant nationalism; and conservative backlash. Brazil's Ernesto Araujo and Eduardo Bolsonaro were central figures in this ideological terrain. Currently, Bolsonaro is in search of a new equilibrium with Biden's administration. Part of this challenge involves issues such as the 5G network, Brazil's designation as an extra-North Atlantic Treaty Organization (NATO) ally, and Brazil's stance on Venezuela, Cuba, and Nicaragua, among others.
- ⁵ The Merke and Reynoso data set is based on aggregate expert evaluations of Latin American executives. The data covers 142 Latin American presidents and is based on a web survey of 134 experts (Merke & Reynoso, 2016). A second round was recently conducted in 2022, to update the database and include the foreign-policy orientation of Latin American presidents between 2016 and 2022.
- ⁶ To build a single foreign-policy orientation index, we used principal component factors. The result showed that the three variables load high in one factor with Eigenvalues over 2.5. Once the values were aggregated into a single variable, we proceeded to normalize them on a scale ranging from 0 to 1, where 0 is the inward-nationalist end of the sample, and 1 is the outward-internationalist end of the sample.
- ⁷ Using this information, we consulted on Google Trends which regions of Brazil searched most for the word “Argentina” on Google in 2019. What we found was that there is a correlation of 0.69 between the search for “Argentina” on Google and the import volume from Argentina. Put another way, the regions that imported the most from Argentina in 2019 (Parana, Rio Grande do Sul, and Santa Catarina) were those that dominated the Google search for “Argentina.” These values were higher than the search for “Argentina” in, for example, the Federal District (Brasília), which ranked 12th.

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